

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

THOMPSON PIPE GROUP, INC., *Complainant*

v.

OMNI LOGISTICS LLC, *Respondent*.

DOCKET NO. 22-31

Served: April 25, 2023

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER DENYING COMPLAINANTS' MOTION TO DISMISS THE AMENDED COMPLAINT

On March 24, 2023, Respondents Omni Logistics LLC ("Omni") and Epic Freight Solutions LLC ("Epic") filed a partial motion to dismiss the amended complaint ("Motion"). On April 7, 2023, Complainant Thompson Pipe Group, Inc. ("TPG"), also referred to as TPG Pressure, Inc., filed a response to the motion ("Opposition"). On April 14, 2023, Omni and Epic filed a reply ("Reply").

For the reasons set forth below, the partial motion to dismiss the amended complaint is denied. Respondents must file a response to the amended complaint by May 2, 2023, and by May 9, 2023, the parties should file a joint status report with proposed schedule as required by the Initial Order issued on December 6, 2022.

A previous motion to dismiss the complaint was denied as moot and a motion to file an amended complaint was granted on February 24, 2023. The amended complaint alleges Shipping Act violations of sections 41102(c) (count I), 41104(a)(14) (Count II), and 41104(a)(15) (count III). Amended Complaint at 8-14. The prior order in this proceeding explained:

Sections 41102(d), 41104(a)(14), and 41104(a)(15) were created by OSRA and may only apply to invoices issued after June 16, 2022. However, the other alleged violations, including section 41102(c) and Commission Regulations, would apply to all of the allegations. Moreover, the conduct identified by OSRA may be relevant to determining the reasonableness of rules and practices.

Order on Motion to Amend Complaint and Motion to Dismiss at 4.

Omni and Epic move to dismiss counts II and III of the amended complaint because they allege violations of provisions of 46 U.S.C. § 41104 that were not in effect during the relevant times, stating: "*with the exception of just a few invoices*, the Complainant alleges that invoices predating enactment of the statute should be found to violate OSRA-22 because they allegedly lack certain information that OSRA-22 now requires to appear on invoices for detention and demurrage," and that "*a mere 13 invoices* of the 245 invoices identified in the Amended

Complaint's Exhibit C2, were issued after June 16, 2022, the effective date of OSRA-22." Motion at 2, 5 (emphasis added).¹

TPG asserts that "the vast majority [of the] invoices at issue have been issued after the passage of OSRA," that there are "a significant number of invoices issued by Respondents that are subject to OSRA," the "list of invoices submitted by TPG in this action was not exhaustive because Respondents are in possession, custody, and control of all invoices and relevant information," and "the conduct identified by OSRA may be relevant to determining the reasonableness of rules and practices." Opposition at 1-2.

In their reply, Omni and Epic assert that their motion is not premature and that Complainant does not dispute that invoices² identified in the amended complaint were issued after June 16, 2022. Reply at 2-3.

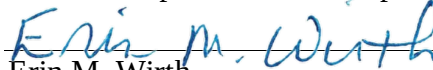
As explained in the prior order in this proceeding:

Sections . . . 41104(a)(14), and 41104(a)(15) were created by OSRA and may only apply to invoices issued after June 16, 2022. However, the other alleged violations, including section 41102(c) and Commission Regulations, would apply to all of the allegations. Moreover, the conduct identified by OSRA may be relevant to determining the reasonableness of rules and practices.

Order on Motion to Amend Complaint and Motion to Dismiss at 4.

The motion has no factual or legal basis. By Respondents' own admission, there are at least 13 invoices identified by the amended complaint that were issued after OSRA-22 went into effect. Those invoices would be subject to Count II and Count III of the amended complaint. Moreover, the post-OSRA invoices are more recent, and more may be uncovered during the course of discovery. Therefore, the amended complaint alleges a factual basis for the count II and count III claims. As a legal issue, retroactivity would not apply to these invoices as they were issued after OSRA-22 was in effect. In addition, all of the invoices may be subject to a claim under Count I as a violation of section 41102(c), which was in effect prior to OSRA-22. Therefore, there is no basis to partially dismiss the complaint.

For the reasons stated above, it is hereby **ORDERED** that Respondents' motion to dismiss be **DENIED**. It is **FURTHER ORDERED** that given the delays in the proceeding, Respondents shall submit their answer by May 2, 2023, and the parties shall submit a joint status report with proposed schedule by May 9, 2023. In the joint status report, the parties should also indicate if they have any objection to modifying the caption to "TPG Pressure, Inc." for Complainant and to adding Epic Freight Solutions LLC as a Respondent in the caption.


Erin M. Wirth
Chief Administrative Law Judge

¹ Both the motion and reply request dismissal related to invoices issued "*after* June 16, 2022" because OSRA-22 does not apply retroactively. Motion at 1, Reply at 2. It is presumed that this is a typographical error because retroactive application of OSRA-22 would apply to invoices issued *before* OSRA-22.

² Regarding the number of invoices issued after June 16, 2022, the heading states there are 232, while the text states there are 13. The specific number does not impact the analysis. Reply at 2.